

SENIOR DEBT FINANCING · \$12,600,000

Wylder Hotel Tilghman Island.

A \$12,600,000 first mortgage at a fixed rate of 10.29%, 30-year term, fully amortizing, refinancing the existing loan on a 57-key waterfront resort in Talbot County, Maryland.

Bradley M. Buzil

SENIOR DIRECTOR · EXCLUSIVE CAPITAL ADVISOR

wylder

TILGHMAN ISLAND

September 4, 2026 · Tilghman Island, MD

Summary of the financing request.

LOAN AMOUNT \$12.60M Single first mortgage · \$221,053 per key	ALL-IN RATE 10.29% Fixed · 4.54% index + 5.75% spread	TERM & AMORTIZATION 30 yrs Fully amortizing · no interest-only	ANNUAL DEBT SERVICE \$1.36M Principal and interest · level
LTV AT CLOSE 60.0% Of \$21,000,000 estimated as-is value	STABILIZED DSCR 1.47x Year 2 · 2028 projected · 1.20x minimum	STABILIZED DEBT YIELD 15.9% Year 2 · 2028 projected	SPONSOR COST BASIS \$18.68M \$327,713 per key · total project



A 57-key waterfront resort on 8.10 acres in Talbot County, Maryland.

Wylder Hotel Tilghman Island sits on Tilghman Island in Talbot County, Maryland, between the Chesapeake Bay and the Choptank River — an 8.10-acre waterfront parcel with 1,100 feet of water frontage, a marina, pool, restaurant and boat bar. Operated under the Wylder Hotels brand, the property is mid-repositioning, with a Small Luxury Hotels affiliation planned for Year 2.

KEYS 50 → 57 Upon renovation completion	SITE 8.10 ac 352,759 SF site · 27,686 SF improvements
POSITIONING Upper Upscale Select-service resort	LOCATION Tilghman, MD Talbot County · Tilghman Island



What the asset comprises.



LOCATION

SITE

8.10 acres · three parcels

WATER FRONTAGE

1,100 feet on the Choptank River

ZONING

Village Mixed · hotel permitted and legally conforming

DRIVE-TO DEMAND

Two hours from Washington and Baltimore

LUXURY BENCHMARK

12 miles from the Inn at Perry Cabin

PARKING

69 surface spaces



ACCOMMODATIONS

IN SERVICE TODAY

50 waterfront rooms

OUT OF SERVICE

4 rooms, restored under the capital plan

ADDED

3 keys from the rebuilt three-bedroom house

ON COMPLETION

57 keys

MARINA

23 slips today · 25 new slips added

COMMERCIAL SPACE

Converting to a wellness studio



FOOD, BEVERAGE AND EVENTS

RESTAURANT

Tickler's Crab Shack · 128 seats, 2,000 SF, seasonal

BALLROOM

2,000 SF

BREAKOUT

Multiple breakout and restaurant spaces

OUTDOOR

Waterfront tent space

BOAT BAR

Converting to add usable event space

TOTAL EVENT SPACE

3,722 SF today · 5,252 SF on completion



AMENITIES

POOL

Heated saltwater

WELLNESS

Panoramic sauna and cold plunge

WATER

Watersports from the property

GROUNDS

Bonfire pits, lawn games, rope swing, hammocks

SEATING

Adirondack chairs on the lawn

AMENITY FEE

\$40 per room night · **95.9% capture in 2025**

Ownership and operating structure.

The property is owned by **21551 Tilghman Investors LLC**, led by principal **John Flannigan**, and operated under the **Wylder Hotels** brand through affiliate Wylder Eastern Shore Management, LLC — controlling day-to-day operations and the renovation, with a Small Luxury Hotels affiliation planned for Year 2.

OWNERSHIP	PRINCIPAL
21551 Tilghman Investors LLC	John Flannigan
OPERATOR / BRAND	MANAGER
Wylder Hotels	Wylder Eastern Shore Mgmt.

STRUCTURE AND ALIGNMENT

- 01

Owner-operated, no third-party manager — Day-to-day operations are run by an affiliate of ownership. There is no third-party management agreement to terminate or subordinate, no comfort letter to negotiate and no split incentive between owner and operator.
- 02

Continuous ownership since 2017 — The sponsor has owned and operated the hotel under the Wylder brand through the pandemic cycle and the current repositioning, investing a further \$642,693 of capital between 2021 and 2025.
- 03

Single-asset ownership entity — 21551 Tilghman Investors LLC holds this property and no other operating assets, keeping the collateral and its cash flow ring-fenced.
- 04

Three-property brand platform — Revenue management, distribution, design and procurement are shared across Wylder Hotels in Maryland, New York and California, giving a 57-key asset reach it could not support standing alone.

Operating statements are produced monthly at the property level and are the basis for the historical figures in this package. Financial reporting, revenue management and the renovation are handled in-house.



Operator background and brand portfolio.

wylder HOTELS

A boutique hotel brand that acquires, renovates and operates resort properties in drive-to leisure markets. Three hotels across three states.

Wylder Tilghman Island

Chesapeake Bay, MD · this asset

50→57 keys

Est. 2017

Wylder Hope Valley

Sierra Nevada, CA

30 cabins

Est. 2019

Wylder Windham

Catskills, NY · ~\$27M invested

110 keys

Est. 2022

RECOGNITION

#1 Best Resort in New York State, #8 in the U.S. — Travel + Leisure World’s Best, 2023 · MICHELIN Guide & first Small Luxury Hotels member in the Catskills (Wylder Windham) · Top 11 in NY & the Mid-Atlantic — Condé Nast Traveler, 2018 (Tilghman Island).



John Flannigan

FOUNDER & CEO · WYLDER HOTELS (JEF MANAGEMENT LLC)

3

DECADES

WYLDER · '16–
NOW

Founder & CEO — acquired, renovated and opened three resorts; leads capital, acquisitions, design and operations.

PROPER · '14–'16

Chief Operating Officer, Proper Hospitality — opened Avalon Beverly Hills and Avalon Palm Springs.

JRK · '09–'14

President, JRK Hotels — seven-hotel platform; acquired the 472-key Sheraton Nashville Downtown (\$47.5M), Oceana Santa Monica & Santa Barbara, Villa Florence SF.

ACE NY · '08–'09

Opening General Manager — opened the Ace Hotel New York.

EARLIER

Opening GM of The Roger and Hotel Giraffe (NYC); progressive roles at Wyndham Hotels.

B.S., Hotel, Restaurant & Institutional Management — The Pennsylvania State University (1996). Entrepreneur of the Year, Penn State Hotel & Restaurant Society, 2023.

Business plan and capital improvement program.

CAPITAL IMPROVEMENT PROGRAM

\$3.0M · \$52,684 / KEY · SEP 2026 – APR 2027

01

Guest room renovation

Full renovation of all 57 guest rooms at \$25,000 per key. **Four out-of-service keys are returned and three added in the back house**, taking the hotel from 50 to 57 — 12.3% more sellable inventory that has never produced revenue.

\$1.43M

02

Additional revenue sources

A **marina expansion adding 25 slips**, built for \$250,000, carries almost no operating overhead and contributes roughly **\$146,000 a year** at stabilization — payback inside two years on revenue never previously captured. A reconfigured boat bar and rebuilt three-bedroom house add further sources.

\$0.85M

03

Brand affiliation

Operation under the Wylder Hotels brand, with a planned Small Luxury Hotels affiliation in Year 2 distributed through Hilton channels.

SLH · Yr 2

Exterior and interior improvements, contingency and professional fees complete the \$3,003,000 program, equal to \$52,684 per key across 57 keys. **The program is funded by the sponsor outside this financing** and is not drawn from loan proceeds.

REVPAR INDEX TO COMP SET

41.5% → 70% target

\$87 today vs. \$210 comp set (STR, Dec 2025)

The plan targets a RevPAR index of approximately 70% of the competitive set, **assuming no growth in the underlying market.**

NOI · 2027→2029

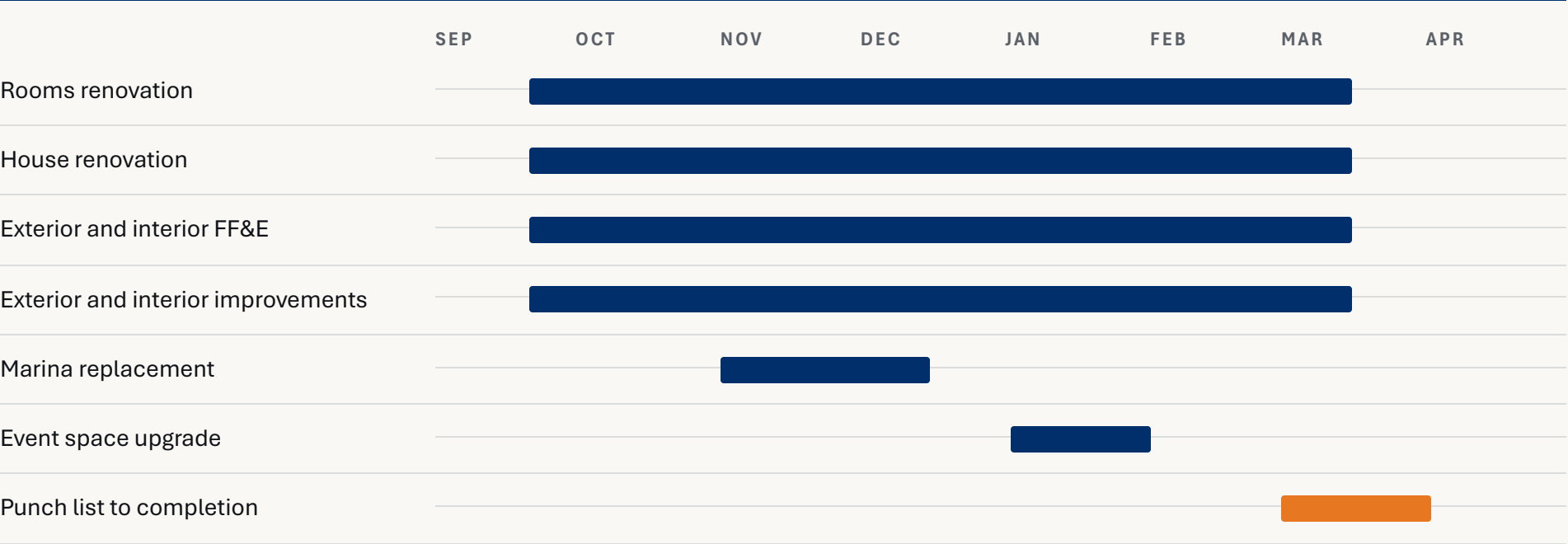
1.8x

REVPAR · 2025→2029

\$87→\$166

The renovation is designed, priced and scheduled.

RENOVATION SCHEDULE · SEPTEMBER 2026 TO APRIL 2027



START AND COMPLETION DATES

Rooms renovation	Sep 21, 2026 → Mar 15, 2027
House renovation	Sep 21, 2026 → Mar 15, 2027
Exterior and interior FF&E	Sep 21, 2026 → Mar 15, 2027
Exterior and interior improvements	Sep 21, 2026 → Mar 15, 2027
Marina replacement	Nov 1, 2026 → Dec 15, 2026
Event space upgrade	Jan 2, 2027 → Jan 31, 2027
Punch list to completion	Mar 1, 2027 → Apr 1, 2027

Work begins **September 21, 2026** and completes **April 1, 2027**. The program is scheduled across the low season and completes before the 2027 summer peak — the four months to September carry 72% market occupancy against 40% from November to March.



THE MODEL ROOM IS BUILT

The guest-room specification is complete and can be inspected on site. Finishes, casegoods, lighting, soft goods and bath are installed. The **\$25,000 per key** in the budget is priced against a room that exists rather than a drawing, which takes design and specification risk out of the remaining keys and gives the schedule a known unit cost to roll out.

Small Luxury Hotels affiliation and distribution.

WHY THE AFFILIATION MATTERS

HILTON DISTRIBUTION

SLH member hotels are bookable directly through **Hilton.com, the Hilton app and Hilton Honors**. The affiliation places the property inside Hilton’s reservation and loyalty system rather than leaving it dependent on direct booking and third-party channels, which is the mechanism behind the projected occupancy and rate gain.

AN ESTABLISHED RELATIONSHIP

The sponsor already operates within SLH. **Wylder Windham, the sister hotel in the Catskills, is an SLH member** and was the first in that market. The application here is an extension of a working relationship rather than a first approach.

AMERICAN EXPRESS FINE HOTELS & RESORTS

Wylder Windham carries the **American Express Fine Hotels & Resorts designation**, reached through the SLH platform. The same designation is the plan at Tilghman Island, adding a high-rate corporate and affluent leisure channel on completion.

Affiliation is targeted on completion of the renovation and remains subject to application, inspection, board approval and an executed brand affiliate agreement.

MEMBERSHIP ECONOMICS

Initial term	4 years
Implementation fee · one time	\$4,500
Annual fee · year 1	\$13,220
Annual fee · year 2	\$20,902
Annual fee · year 3	\$33,050
Annual fee · year 4	\$33,050
Four-year total	\$100,222
Full annual fee vs stabilized revenue	0.49%

COMMISSION BY CHANNEL

SLH.com	10%
Voice reservations	10%
GDS	\$18 / res
Amex Fine Hotels & Resorts	2% of room rev

Fee schedule is the 2025/2026 rate quoted on 50 rooms; the annual fee steps to roughly \$35,136 at 57 rooms. Also payable: 15 barter room nights a year, a £153 monthly database fee, a \$2,249 inspection fee every 12 to 18 months, and \$665 directory and conference contributions.

Estimated values and underwritten projections.

ESTIMATED AS-IS VALUE	ESTIMATED UPON COMPLETION	ESTIMATED UPON STABILIZATION
\$21,000,000 \$368,421 per key	\$25,500,000 \$447,368 per key	\$28,500,000 \$500,000 per key

Management’s estimates prepared for underwriting purposes only; not appraisals. Per-key figures on 57 keys.

METRIC	2027	2028	2029
Occupancy	33%	38%	40%
Average daily rate	\$330	\$395	\$415
RevPAR	\$109	\$150	\$166
Total revenue	\$4.51M	\$6.02M	\$6.71M
Net operating income	\$1.26M	\$2.00M	\$2.30M
NOI margin	28.0%	33.3%	34.3%

STABILIZED NOI	STABILIZED NOI MARGIN	REVPAR · 2029
\$2,299,337	34.3%	\$166

2027 reflects renovation and ramp; 2028 and 2029 reflect stabilized operation. Projections per the financial model. 2026 is a transition year and is not presented; monthly 2026 detail is available in the model.

Pro forma cash flow and underwriting assumptions.

PRO FORMA CASH FLOW

	2027	2028	2029
Available room nights	20,805	20,805	20,805
Occupied room nights	6,866	7,906	8,322
Occupancy	33.0%	38.0%	40.0%
Average daily rate	\$330	\$395	\$415
RevPAR	\$108.90	\$150.10	\$166.00
Rooms revenue	\$2,265,664	\$3,122,830	\$3,453,630
Other revenue	\$2,240,694	\$2,896,318	\$3,257,220
Total revenue	\$4,506,359	\$6,019,148	\$6,710,850
Operating expenses	(\$3,246,624)	(\$4,016,731)	(\$4,411,513)
Net operating income	\$1,259,735	\$2,002,417	\$2,299,337
NOI margin	28.0%	33.3%	34.3%

Other revenue comprises food and beverage, resort fee, marina slips and miscellaneous income. Operating expenses are total departmental, undistributed and fixed costs. Per the financial model.

UNDERWRITING ASSUMPTIONS

Keys at stabilization	57 (50 today)
Occupancy · 2027 to 2029	33% → 40%
Average daily rate	\$330 → \$415
RevPAR	\$109 → \$166
RevPAR index to comp set	41.5% → 70%
Underlying market growth	None assumed
Capital program	\$3,003,000
Capital program per key	\$52,684
Capital program funding	Sponsor · outside loan
Operating expense ratio	72.0% → 65.7%
Brand	Wylder Hotels
Affiliation	SLH · Year 2

The plan assumes no growth in competitive-set rate or occupancy; the entire RevPAR gain is attributed to the renovation, added keys and brand affiliation. Comparative set performance is held flat at its 2025 level throughout.

Extended cash flow, fiscal 2030 through fiscal 2040.

Dollars in thousands. A second projection on a more conservative basis than the sponsor model: 57 keys, occupancy flat at 43.0%, rate growth of 3.0% a year, no assumed market growth, and a 3.0% management fee and 4.0% replacement reserve deducted as separate lines. At the common point it produces net operating income approximately 15% below the sponsor case on substantially the same revenue. Columns may not foot due to rounding.

FISCAL YEAR ENDING APRIL 30	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039	2040
OPERATING STATISTICS											
Average daily rate	\$362	\$382	\$394	\$406	\$418	\$430	\$443	\$457	\$470	\$484	\$499
RevPAR	\$156	\$164	\$169	\$174	\$180	\$185	\$191	\$196	\$202	\$208	\$215
REVENUE											
Rooms	3,239	3,421	3,534	3,630	3,739	3,851	3,977	4,085	4,208	4,334	4,477
Food and beverage	2,589	2,665	2,747	2,829	2,913	3,003	3,093	3,185	3,283	3,382	3,482
Amenity and resort fee	386	398	411	422	435	448	463	475	489	504	521
Marina and other operated	290	299	308	317	327	336	346	357	368	379	390
Total revenue	6,505	6,783	7,000	7,199	7,413	7,638	7,880	8,102	8,348	8,599	8,869
EXPENSES											
Departmental expenses	(2,439)	(2,511)	(2,588)	(2,665)	(2,745)	(2,828)	(2,914)	(3,000)	(3,091)	(3,184)	(3,280)
Departmental profit	4,065	4,272	4,411	4,533	4,669	4,810	4,966	5,102	5,256	5,414	5,589
Undistributed expenses	(1,551)	(1,604)	(1,656)	(1,702)	(1,753)	(1,806)	(1,864)	(1,916)	(1,973)	(2,033)	(2,098)
Gross operating profit	2,514	2,668	2,755	2,831	2,915	3,004	3,101	3,187	3,283	3,382	3,490
Management fee - 3.0%	(195)	(204)	(210)	(216)	(222)	(229)	(236)	(243)	(250)	(258)	(266)
Property taxes and insurance	(114)	(117)	(121)	(124)	(128)	(132)	(136)	(140)	(145)	(148)	(153)
Replacement reserve - 4.0%	(260)	(271)	(280)	(288)	(297)	(306)	(315)	(324)	(334)	(344)	(355)
Net operating income	1,945	2,076	2,144	2,203	2,268	2,337	2,413	2,479	2,554	2,631	2,716
SENIOR DEBT											
Debt service	(1,359)	(1,359)	(1,359)	(1,359)	(1,359)	(1,359)	(1,359)	(1,359)	(1,359)	(1,359)	(1,359)
Debt service coverage	1.43x	1.53x	1.58x	1.62x	1.67x	1.72x	1.78x	1.82x	1.88x	1.94x	2.00x
Debt yield	15.4%	16.5%	17.0%	17.5%	18.0%	18.6%	19.2%	19.7%	20.3%	20.9%	21.6%

1.43x

Minimum coverage over the period, in fiscal 2030

\$10.8M

Aggregate cash flow after debt service, fiscal 2030 to 2040

3.4%

Compound annual growth in net operating income

6.82%

Fiscal 2030 income on the \$28,500,000 stabilized estimate

Departmental revenue and margins against industry benchmarks.

REVENUE BY DEPARTMENT AT STABILIZATION

DEPARTMENT	\$000S	% OF TOTAL	RESORT SEGMENT
Rooms	3,239	49.8%	57.9%
Food and beverage	2,589	39.8%	29.3%
Amenity, marina and other operated	676	10.4%	12.8%
Total revenue	6,505	100.0%	100.0%

FOOD AND BEVERAGE AGAINST OUTLET COMPARABLES

METRIC	SUBJECT	COMP AVG	COMP RANGE
Restaurant revenue per seat	\$14,775	\$18,540	\$11.8K–\$33.8K
Event space revenue per SF	\$313	\$271	\$201–\$421
Event revenue per occupied room	\$184	\$95	\$36–\$206

REVENUE NOT PRESENT IN ANY HISTORICAL PERIOD

SOURCE	REVENUE	DEPARTMENTAL PROFIT
Marina · 25 new slips	\$182,000	\$146,000
Seven added keys · 50 → 57	\$398,000	\$298,000
Combined at stabilization	\$580,000	\$444,000

The **marina is built for \$250,000** inside the sponsor-funded capital program and carries almost no operating overhead; the projections still load it with a 20% direct cost, so its contribution is conservatively stated. Four out-of-service keys returned and three added in the back house lift sellable inventory 12.3%. Food and beverage is a larger share of revenue than the resort segment because of the crab shack, bar and event space against only 57 keys, but restaurant revenue per seat is 20% below the comparable average and event revenue per occupied room of \$184 is **2% above the \$180 the property itself achieved in 2025**.

MARGINS AGAINST INDUSTRY BENCHMARKS

RATIO TO REVENUE	SUBJECT	RESORT	INDEPENDENT
Departmental profit	62.5%	59.8%	58.1%
Undistributed expenses	23.8%	22.6%	25.1%
Gross operating profit	38.7%	37.2%	33.0%
Administrative and general	10.1%	7.2%	9.1%
Sales and marketing	5.6%	6.2%	6.1%
Utilities	3.6%	2.9%	3.1%
Property operation and maintenance	3.0%	4.1%	4.8%
Management fee	3.0%	3.7%	2.7%
Replacement reserve	4.0%	2.1%	2.1%

DEPARTMENTAL COST RATIOS

RATIO TO DEPARTMENTAL REVENUE	SUBJECT	RESORT	INDEPENDENT
Rooms expense	25.0%	25.1%	31.7%
Food and beverage expense	60.5%	72.0%	77.4%

Benchmarks are the resort and independent segments of the 2024 United States hotel profitability review. Gross operating profit of 38.7% is 1.5 points above the resort segment. Two variances are deliberate and are disclosed rather than smoothed: the replacement reserve is carried at 4.0% of revenue against a 2.1% segment norm, and food and beverage cost of 60.5% is below the 72.0% segment figure, reflecting a limited-menu seasonal outlet and event catering rather than a three-meal restaurant.

Historical operations and competitive benchmarking.

ACTUAL OPERATIONS

METRIC	2023	2024	2025
Occupancy	27%	32%	33%
Average daily rate	\$312	\$291	\$265
RevPAR	\$83	\$92	\$87
Total revenue	\$3.48M	\$3.81M	\$3.79M
Net operating income	\$0.49M	\$0.92M	\$0.66M
NOI margin	14.0%	24.0%	17.6%

Per operating statements. 2025 is preliminary. 2026 is a transition year and is not presented.

COMPETITIVE BENCHMARKING · YTD DEC 2025

METRIC	OCC	ADR	REVPAR
Wylder Tilghman Island	32.9%	\$264.79	\$87.00
Competitive set	58.7%	\$357.10	\$209.75
Submarket	53.1%	\$142.06	\$75.38
Maryland market	53.3%	\$163.10	\$86.98
Index to comp set	55.9	74.1	41.5

Source: STR STAR report, December 2025 (year to date). Competitive set comprises four properties and 364 rooms. The 41.5 RevPAR index is the gap the business plan addresses.

The competitive market, supply and demand.

COMPETITIVE MARKET • 2025 PERFORMANCE

PROPERTY • LOCATION	KEYS	OCCUPANCY	ADR	REVPAR
Inn at Perry Cabin • St Michaels	78	55–60%	\$745–775	\$435–465
Chesapeake Bay Beach Club • Stevensville	77	70–75%	\$260–270	\$175–205
Tidewater Inn • Easton	89	40–45%	\$235–245	\$90–120
Hilton Garden Inn • Kent Island Marina	91	65–70%	\$210–220	\$135–165
Composite property	19	55–60%	\$340–360	\$185–215
Market total and average	404	56.9%	\$349.79	\$199.18
Wylder Tilghman Island	50	32.9%	\$264.79	\$87.00

PENETRATION AGAINST THE MARKET

INDEX	2024	2025	TARGET
Occupancy index	59%	58%	–
Rate index	82%	76%	–
RevPAR index	48%	44%	70%

The index fell between 2024 and 2025 because the property was discounting rate while carrying keys out of service — average rate dropped from \$291 to \$265 against a market holding \$350. Rate, not occupancy, is the variance. Recovering it is what the capital program and the affiliation are for.

The market set totals 404 rooms including the subject and a composite of smaller properties. The subject holds 76% of market rate but only 58% of market occupancy, producing a RevPAR index of 44%. The business plan targets 70% of market RevPAR at stabilization — a level still 30% below the market average and below both luxury properties in the set. The STR benchmarking on the preceding page is drawn from a differently constituted set of four properties and 364 rooms; the two are not interchangeable.

MARKET SUPPLY AND DEMAND

YEAR	SUPPLY	DEMAND	OCC	ADR	REVPAR
2019	396	76,475	52.9%	\$266	\$141
2021	396	82,180	56.8%	\$316	\$179
2022	407	87,883	59.1%	\$317	\$187
2023	404	77,581	52.6%	\$353	\$186
2024	404	79,802	54.1%	\$354	\$192
2025	404	84,017	56.9%	\$350	\$199
TTM March 2026	404	84,809	57.5%	\$350	\$201
CAGR 2019–2025	0.3%	1.6%	1.2%	4.7%	6.0%

WHAT THE MARKET TREND SUPPORTS

Market supply has been unchanged at approximately 404 rooms since 2022, while demand has grown in each of the last two years and reached a ten-year high of 84,017 room nights in 2025. Trailing twelve-month demand through March 2026 is running 5.6% ahead of the prior period. Market RevPAR has compounded at 6.0% a year since 2019 and stands at a record \$199. The projections adopt none of this growth: rate and occupancy for the competitive market are held flat at 2025 levels throughout, so the entire RevPAR gain in the plan is attributed to the renovation, the seven added keys and the brand affiliation.

MARKET SEASONALITY • MONTHLY OCCUPANCY 2025

PERIOD	OCC	ADR	REVPAR
Peak • June to September	72.0%	\$396	\$285
Shoulder • April, May, October	64.6%	\$355	\$231
Trough • November to March	40.0%	\$267	\$109

Demand is concentrated: four peak months run at 72% occupancy against 40% across the five winter months. Projections are annual averages; interim coverage follows the same pattern. Figures are monthly averages.

Demand figures are annual room nights for the market set. Supply is average rooms available per day.

Drive-to demand, visitation and new supply.

DRIVE-TO LEISURE DEMAND

METROPOLITAN AREA	MILES	POPULATION
Washington, DC	40	6,436,489
Baltimore, MD	43	2,859,024
Richmond, VA	100	1,370,165
Philadelphia, PA	108	6,330,422
New York, NY	186	19,940,274
Within 3.5 hours	–	36,936,374

2025 VISITORS

666,400

VISITOR SPENDING

\$317M

Talbot County visitation supported 1,944 jobs and \$132M of local, state and federal tax receipts in 2025. Source: Talbot County Economic Development and Tourism.

NEW SUPPLY WITHIN THE SUBMARKET

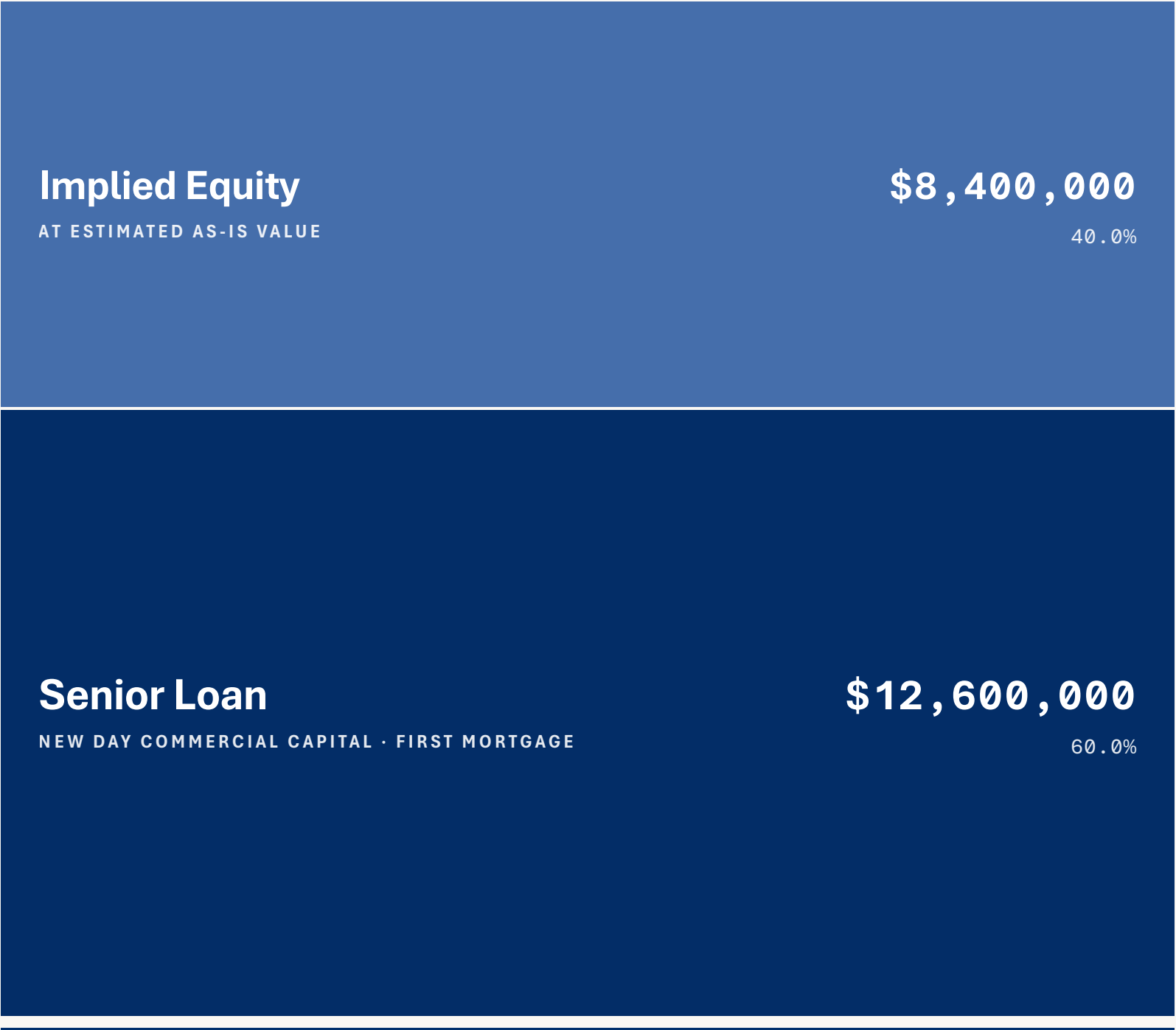
PROPERTY · STATUS	KEYS	MILES
Wilson’s Cove · under construction	32	50.7
Microtel Inn & Suites, Easton · planning	81	25.3
Home2 Suites, Salisbury · opened Feb 2026	81	72.6
Home2 Suites, Middletown · proposed	89	76.5

No new supply is under construction within 25 miles. The nearest proposed project is an **81-key economy product 25 miles away, not before Q3 2028**, and none of the pipeline competes with upper-upscale waterfront resort product.

Competitive set supply has been unchanged at 364 rooms across four properties since 2023. Distances measured from the subject.



A single first mortgage at 60.0% of estimated as-is value.



ESTIMATED AS-IS VALUE **\$21,000,000**

The financing consists of a single **\$12,600,000 first mortgage** from New Day Commercial Capital. There is no mezzanine debt, no subordinate financing and no second lien position.

LOAN MEASURES	
Senior loan	\$12,600,000
Estimated as-is value	\$21,000,000
Loan to value	60.0%
Loan per key (57 keys)	\$221,053
Loan per square foot (27,686 SF)	\$455.10

Estimated as-is value is management’s estimate prepared for underwriting purposes only. It is not an appraisal, and no third-party valuation conclusion is represented.

Summary of senior loan terms.

ALL-IN RATE

10.29%

Fixed for the term

TERM & AMORTIZATION

30 yrs

Fully amortizing

MAXIMUM LTV

60.0%

Per lender LOI

Index · 5-yr Treasury 4.54%

Spread 5.75%

Rate type Fixed

Annual debt service \$1,359,403

Annual debt constant 10.789%

Interest-only period None

Loan amount \$12,600,000

Minimum DSCR 1.20x

Prepayment 1 year · 5%

LENDER

New Day Commercial Capital

ORIGINATION FEES

4.00% + 1.00%

BROKER FEE · MMCC

1.00%

PROCESSING & THIRD-PARTY

\$10,100

Projected debt service coverage, 2027 through 2029.

UNDERWRITTEN CASH FLOW	2027	2028	2029
Net operating income	\$1,259,735	\$2,002,417	\$2,299,337
Debt service (P&I)	\$1,359,403	\$1,359,403	\$1,359,403
DSCR	0.93x	1.47x	1.69x
Debt yield	10.00%	15.89%	18.25%

STABILIZED DSCR

1.47x

Year 2 · 2028

STABILIZED DEBT YIELD

15.9%

Year 2 · 2028

YEAR 1 COVERAGE

2027 is the renovation and stabilization year, during which projected coverage is below the 1.20x minimum. Any shortfall is carried by the sponsor under the carry guaranty. Projected coverage clears the minimum from 2028 forward.

Debt service is fixed and level for the full 30-year term at a 10.789% annual constant. Figures are underwritten projections prepared by management; actual results will vary.

Loan measured against cost basis, value and sponsor support.

LOAN COVERAGE MEASURES	
Senior loan	\$12,600,000
Estimated as-is value	\$21,000,000
Loan to value	60.0%
Total project cost basis	\$18,679,659
Loan to total project cost	67.5%
Cost basis in excess of loan	\$6,079,659

Of the \$18,679,659 total project cost basis, **\$12,714,782 has been incurred to date** and \$5,964,877 remains to be funded, comprising the \$3,003,000 capital improvement plan and \$2,961,877 of working capital, interest and carry, origination, closing costs and fees. The **\$3,003,000 capital program is funded by the sponsor outside this financing.**

COST BASIS

Total project cost basis of \$18,679,659 (\$327,713 per key on 57 keys) against a \$12,600,000 loan. That basis includes **\$2,000,000 of sponsor cash equity funded outside loan proceeds.**

AMORTIZATION

Thirty years, **fully amortizing from closing** with no interest-only period. Principal reduces each month at a 10.789% annual constant, lowering the outstanding balance throughout the term.

SPONSOR SUPPORT

Completion and cost-overflow guaranty, full carry guaranty through renovation and stabilization, recourse carve-outs and environmental indemnity, and a \$10,000,000 minimum net-worth covenant on the guarantor.

Total project cost basis and capital improvement plan.

ACQUISITION

Acquisition and capital expenses	\$10,714,782
Sponsor cash equity outside loan proceeds	\$2,000,000
Down payment, carry, pre-opening and entity costs	
Total acquisition	\$12,714,782

OTHER COSTS

Working capital	\$500,000
Interest and carry	\$1,419,706
Origination fee · lender	\$504,000
Origination fee · Elevated Equities	\$126,000
Closing, legal and mortgage tax	\$276,072
Broker fee · MMCC	\$126,000
Processing and third-party fees	\$10,100
Total other costs	\$2,961,877

Total project cost basis	\$18,679,659
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CAPITAL ALREADY INVESTED

A further **\$642,693 (\$11,275 per key)** was invested between 2021 and 2025 across building envelope, mechanical systems, FF&E, technology and site works — outside the capital improvement plan above. Source: owner capital expenditure records.

Per the sponsor’s cost basis schedule. Totals may differ by \$1 from the sum of components due to rounding.

CAPITAL IMPROVEMENT PLAN · PIP

Room renovation	\$1,425,000
Marina · 25 new slips	\$250,000
Replace three-bedroom house	\$500,000
Interior public space and FF&E	\$50,000
Convert boat bar	\$50,000
Exterior and interior improvements	\$300,000
Contingency	\$258,000
Professional fees	\$170,000
Total capital improvement plan	\$3,003,000

COST BASIS PER KEY

\$327,713

LOAN PER KEY

\$221,053

CAPITAL PLAN PER KEY

\$52,684

BASIS ABOVE THE LOAN

\$6,079,659

The **\$3,003,000 capital improvement plan is funded by the sponsor outside this financing** and is not drawn from loan proceeds. Work runs from September 21, 2026 to April 1, 2027; the schedule is on page 8. Per-key figures on 57 keys.

Estimated value positioned against market evidence.

PER-KEY POSITIONING

MEASURE	AMOUNT	PER KEY
Senior loan	\$12.60M	\$221,053
Total project cost basis	\$18.68M	\$327,713
Estimated as-is	\$21.00M	\$368,421
Estimated upon completion	\$25.50M	\$447,368
Estimated upon stabilization	\$28.50M	\$500,000
Waterfront sales · weighted avg	\$18.05M	\$396,000
Waterfront sales · median	\$15.00M	\$397,000
Recent resort trades · weighted avg	\$20.28M	\$463,000
Recent resort trades · median	\$10.75M	\$332,000

Estimated values are management’s estimates prepared for underwriting purposes only. They are not appraisals, and no third-party valuation conclusion is represented.

THE POSITION

The as-is estimate of **\$368,421 per key sits below the average of both comparable sets** — the East Coast waterfront sales and the eight resort trades closed since January 2025 — and between the median and the average of the more recent set.

The stabilized estimate of **\$500,000 per key** sits below the two highest recent resort trades, at \$741,000 and \$893,000 per key, and is reached only after a \$3,003,000 capital program and brand affiliation.

Total project cost basis of **\$327,713 per key remains below the as-is estimate**, and the loan attaches at \$221,053 per key.

AS-IS VS WATERFRONT SALES AVG

7.0% below

LOAN VS AS-IS ESTIMATE

60.0%

Comparable hotel sales, resort and local.

EAST COAST WATERFRONT RESORT SALES

PROPERTY · MARKET	YEAR	KEYS	\$/KEY
Haven Montauk, NY · renovated	2023	26	\$577K
Sands Motel, Montauk, NY	2024	43	\$541K
Brass Lantern Inn, Nantucket, MA	2023	17	\$441K
Elizabeth Pointe, Fernandina Bch, FL	2024	25	\$410K
Beachside Hotel, Nantucket, MA	2021	94	\$404K
Sandpiper Gulf Resort, Ft Myers, FL	2023	63	\$397K
Montreal Beach Resort, Cape May, NJ	2021	70	\$329K
Creekside Inn, Plantation Key, FL	2021	38	\$329K
Weighted average · 11 sales	2022	46	\$396K
Median · 11 sales	2022	38	\$397K

Limited- and full-service waterfront hotels on the East Coast, 2021–2024. Not adjusted for date of sale, condition, location or scale.

LOCAL EASTERN SHORE TRANSACTIONS

PROPERTY · TOWN	YEAR	KEYS	\$/KEY
Hambleton Inn, Saint Michaels	2024	7	\$354K
Mariners Motel, Rock Hall	2025	12	\$200K
Robert Morris Inn, Oxford	2024	16	\$200K
Oaks Waterfront Inn, Royal Oak	2022	15	\$190K
Great Oak Landing, Chestertown	2020	28	\$169K
The Wildset, Saint Michaels	2020	20	\$160K
Bartlett Pear Inn, Easton	2021	8	\$125K
Kitty Knight House, Georgetown	2021	12	\$117K

Local transactions range from **7 to 28 keys** and comprise historic inns, bed-and-breakfasts and mid-century motels without food and beverage outlets, marina or event facilities. They establish small-inn pricing on the Eastern Shore rather than resort pricing, and are not comparable in scale, product or income base to a 57-key waterfront resort.

The subject carries two food and beverage outlets, 23 boat slips, a 3,722 SF event space and a saltwater pool — none present in the local set.

Recent transaction evidence and local market activity.

RECENT RESORT AND WATERFRONT HOTEL SALES

PROPERTY · MARKET	DATE	KEYS	\$/KEY
The Asticou Hotel · Northeast Harbor, ME	Mar 26	82	\$741K
Marginal Way House · Ogunquit, ME	Nov 25	30	\$333K
Beacon Suites Hotel · Somerville, MA	Nov 25	35	\$266K
Sandy Point Beach Resort · Alton Bay, NH	Oct 25	25	\$331K
White Barn Inn · Kennebunk, ME	Aug 25	28	\$893K
The Bayview Hotel · Bar Harbor, ME	May 25	26	\$285K
The Sparhawk Resort · Ogunquit, ME	Jan 25	89	\$337K
The Breakwater Inn & Spa · Kennebunkport, ME	Jan 25	35	\$329K
Weighted average · eight sales	–	44	\$463K
Median · eight sales	–	–	\$332K

Independent resort and waterfront hotels transacted between January 2025 and March 2026, averaging 44 keys. Not adjusted for date of sale, condition, location or scale.

EASTERN SHORE MARKET ACTIVITY

PROPERTY · TOWN	STATUS	KEYS	\$/KEY
Tilghman Island Inn · Tilghman	Under contract	20	\$260K
Robert Morris Inn · Oxford	Closed, relisted	16	\$200K
The Tidewater Inn · Easton	To market 2026	89	–

The **Tilghman Island Inn** is the nearest transaction and is reported under contract at \$5,200,000. It is a **20-key upper-midscale property configured as condominium units** on five acres, with 1,800 SF of meeting space and seven slips. It carries neither the key count, the two food and beverage outlets, the marina, the 3,722 SF of event space nor the income base of the subject, and it establishes small-inn pricing on the island rather than resort pricing.

WHAT THE LOCAL SET DOES ESTABLISH

The **Tidewater Inn**, an 89-key full-service hotel in Easton, is expected to be brought to market in 2026 and reported 2025 occupancy of 48% at a \$238 average rate on approximately \$950,000 of net operating income. It is the only property in the local set operating at institutional scale, and it does so at a rate 43% below the subject’s \$415 stabilized projection and without waterfront, marina or resort positioning. The **Robert Morris Inn** in Oxford, 16 keys, traded at \$200,000 per key in 2024 and is now closed and back on the market at a lower asking price. The local evidence brackets the subject rather than pricing it: small and partly distressed inns below, and a single larger property in a materially different product tier.

The eight resort transactions at left average 44 keys, closely matching the subject at 57, and support a per-key range of \$266,000 to \$893,000 with a median of \$332,000. The estimated as-is value of \$368,421 per key sits between that median and the average.

Sources and uses of funds at closing.

SOURCES	
Senior loan — New Day Commercial Capital	\$12,600,000
Sponsor equity at close	\$0
Total sources	\$12,600,000
CLOSING / LEGAL / OTHER DETAIL	
Stub interest — current loan	\$113,400
Legal — borrower	\$65,000
Other closing costs	\$60,000
MD mortgage recording tax (1.2026%)	\$22,672
Legal — lender	\$15,000
Total closing / legal / other	\$276,072

USES	
Existing loan payoff	\$10,714,782
Origination fee — New Day (4.00%)	\$504,000
Closing, legal & other	\$276,072
Origination fee — Elevated Equities (1.00%)	\$126,000
Broker fee — MMCC (1.00%)	\$126,000
Processing & third-party fees	\$10,100
Cash-out to sponsor	\$843,046
Total uses	\$12,600,000
Sources less uses	\$0

NET FUNDING TO BORROWER

Gross proceeds of \$12,600,000 less \$630,000 of origination and the \$126,000 MMCC fee net to **\$11,844,000**. After the \$10,714,782 payoff and \$10,100 of processing costs, **\$1,119,118** funds to the borrower, of which \$843,046 remains after closing costs. The \$3,003,000 capital improvement program is funded by the sponsor outside this financing and is not drawn from loan proceeds.

Contact and next steps.

The financial model, the New Day Commercial Capital term sheet, historical operating statements and sponsor materials are available on request.

LOAN AMOUNT	ALL-IN RATE	AMORTIZATION
\$12,600,000	10.29%	30 yrs



Bradley M. Buzil

SENIOR DIRECTOR · THE TRANCHE GROUP

310.909.5473 bradley.buzil@marcusmillichap.com

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